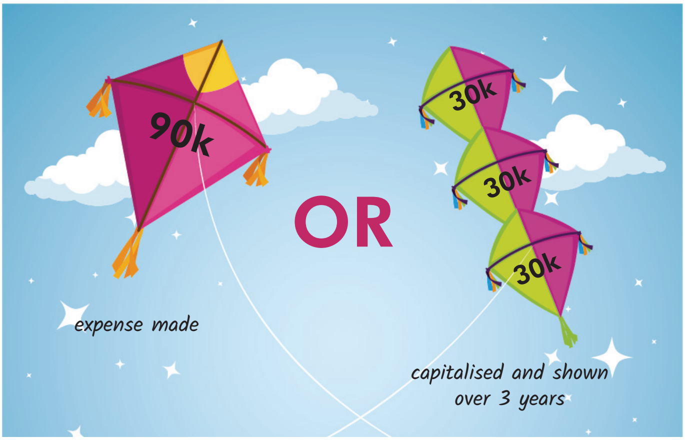
Capitalized Expenditure

These include items that won't reap any direct economic benefit in the future and are just capitalized expenditures. E.g., Goodwill, one-time fees, etc. According to accounting rules, companies have a choice where they can show an outgo as an expense in a single year or else show it as an asset and depreciate it over few years.

EXAMPLE

If a company has spent a large sum of money on an ad or brand campaign two years back and they assume that the benefits will accrue over the next three years. So the company can capitalize its expenses and show one-third of the total expenses in every financial year.



Another example can be non-compete fees. Agreements that prevent a person or company from competing with a former employer or partner for a fee. These fees are called non-compete fees.

Another example is Goodwill on consolidation. When a company is acquired, the company has to pay an additional amount that is treated as goodwill. This is reflected in the balance sheet. This expense won't lead to any direct economic benefit in the future.